University of Phoenix Policy
Tuition Assistance (Employee)

Effective: 3/31/2023	**Supersedes:** Tuition Assistance (Employee) V1, 2/7/2022
Policy Owner: Human Resources	**Version Number:** 2

1.0 Overview

University of Phoenix provides tuition assistance to eligible Employees and their Eligible Family Members (defined below) to facilitate access to higher education to develop the knowledge and skills necessary to achieve their professional goals, improve the performance of the University, and provide leadership and service to their communities. These benefits are provided under two separate educational assistance plans and in conjunction with this policy: The University of Phoenix, Inc. Internal Revenue Code Section 127 Educational Assistance Plan and The University of Phoenix, Inc. Internal Revenue Code Section 117 Qualified Tuition Plan, each amended and restated as of March 31, 2023 (together, the "Plans"). More information about the University's tuition assistance, and Participants' obligations in connection with these benefits, can be found in the Plans' official documents (the "Plan Documents").

2.0 Scope

All regular Employees (as defined in the Plans), excluding associate and lead faculty, and their Eligible Family Members

3.0 Policy

All Participants in the University's tuition assistance program have a responsibility to uphold the University's reputation and to maintain a professional and responsible approach to advancing their education. Individuals should carefully consider the commitment required to successfully complete a course or program before enrolling.

The Plan is administered on a calendar year basis ("Plan Year").

Eligibility

- Employees may obtain tuition assistance for Covered Coursework (defined below) that begins on or after their most recent date of hire with the University.
- Spouses, Domestic Partners, and/or Dependents of Employees ("Eligible Family Members") may obtain tuition assistance for Covered Coursework that begins on or after the Employee has been employed with the University for at least six (6) months as a Full-time or Part-time Employee, provided the Employee continues to remain an Employee and eligible for tuition assistance benefits under the Plans. Proof of Spousal, Domestic Partner, and/or Dependent status is required to determine eligibility for tuition assistance.
- A Spouse means the person to whom an Employee is legally married.
- A Dependent means a dependent child of an Employee who must:
    a) be either (i) Eighteen (18) years of age or younger for the entire calendar year; or (ii) twenty-three (23) years of age or younger for the entire calendar year and a full-time

student for at least five (5) months of the calendar year. The age requirements are deemed to be met for individuals who are totally and permanently disabled; and
  b) be financially dependent on the Employee for more than half of their support during the year; and
  c) have the same principal residence as the Employee for more than half the year; and
  d) be the Employee's unmarried natural child, stepchild, legally adopted child, or foster child.

- A Domestic Partner means a person sharing domestic life with an Employee and who:
  a) shares an exclusive committed relationship with the Employee;
  b) is financially interdependent with the Employee; and
  c) is over the age of eighteen (18) and is not the Employee's Spouse or otherwise related to the Employee.

- Participants are ineligible for tuition assistance for Covered Coursework, excluding Professional Development Courses, under this policy if one or more of the following circumstances applies:
  a) a Participant is on University academic sanction, including academic or scholastic disqualification, suspension, dismissal, or expulsion;
  b) a Participant receives federal financial aid that exceeds the amount of a Participant's Direct Costs. "Direct Costs" are defined as the tuition amount that a Participant is required to pay after the Tuition Discount (defined below) is applied and any Tuition Allowance is provided under the Plans, plus the cost of any books, course materials, and/or fees (including Directed Study fees) associated with Covered Coursework. The maximum amount a Participant may receive in federal financial aid without exceeding their Direct Costs is the remaining difference, if any, after subtracting the amount of any Pell Grant(s) received by the Participant from the individual's Direct Costs. The determination of Direct Costs for purposes of comparing to the amount of federal financial aid received by a Participant includes the Direct Costs for only courses/programs for which federal financial aid may be used (i.e., Employee costs for any Professional Development Course are not included as Direct Costs);
  c) a Participant fails to fulfill their financial responsibilities to the University under the terms of the Plans as described in this policy or has committed any fraudulent acts in applying for tuition assistance or federal financial aid; or
  d) an Employee's scheduled work hours, on a regular basis, are reduced to fewer than twenty (20) hours per week (unless the reduction in work hours is due to a military leave of absence, leave under the federal Family and Medical Leave Act, or any other leave provided under University policy or applicable law).

  For purposes of a), b), and c) above, if the Employee becomes ineligible to receive tuition assistance under this policy, all Eligible Family Members also will be ineligible to receive tuition assistance under this policy. The ineligibility of an otherwise Eligible Family Member to receive tuition assistance under this policy in accordance with a) above will not cause the Employee and/or any other Eligible Family Members to lose eligibility for tuition assistance under this policy. However, ineligibility of an otherwise Eligible Family Member to receive tuition assistance under this policy in accordance with b) or c) above will cause the Employee and/or any other Eligible Family Members to lose eligibility for tuition assistance under this policy.

- A Participant's continued failure to successfully pass a course for which they are receiving tuition assistance and/or excessive Withdrawals from Covered Coursework may result in the suspension of tuition assistance, at the University's discretion. Additionally, any misconduct that is a willful

disregard for the University's interest or that may be considered severe, in the University's discretion, may result in the revocation of a Participant's tuition assistance under this policy.

Tuition Assistance

- "Covered Coursework," for purposes of the Plans and this policy, currently includes any course, degree or non-degree program, or certificate program (including Directed Study) at an Associate, Undergraduate, or Graduate level, Doctoral Programs, and Professional Development Courses (for Employees only) offered by the University. There may be limitations under the Plans as to which courses and/or programs are covered.
- The tuition assistance provided to Participants, once the eligibility requirements (described above) have been met, is based on the course/program level as set forth in the following charts, and subject to federal regulations regarding tuition assistance. A Participant is responsible for paying the difference, if any, between the Total Tuition Reduction shown in the charts below and the tuition amount charged by the University to the general public for the same course, degree or non-degree program, certificate program (including Directed Study), or Professional Development Course. Additionally, a Participant is responsible for paying any fees, including Directed Study fees, and the cost of books and any course materials.
- An Employee in Graduate or Doctoral courses and/or programs is responsible for paying the difference between the tuition amount charged by the University to the general public for the same course, degree or non-degree program, or certificate program (including Directed Study) and the Tuition Discount once the dollar amount of any Tuition Allowance received by the Employee equals the threshold set forth in Section 127 of the Internal Revenue Code (currently $5,250).

Associate/Undergraduate Courses, Degree and Non-Degree Programs, and Certificate Programs (including Directed Study), Excluding Professional Development Courses

Group	Tuition Discount	Tuition Allowance	Total Tuition Reduction
Employees	40%	60%	100%
Employee's Spouse or Dependents	40%	40%	80%
Employee's Domestic Partner	40%	-	40%

Graduate Courses, Degree and Non-Degree Programs (including Directed Study), Excluding Professional Development Courses

Group	Tuition Discount	Tuition Allowance	Total Tuition Reduction
Employees (1)	40%	60%	100%
Employee's Eligible Family Members	40%	-	40%

Doctoral Programs (including Directed Study), Excluding Professional Development Courses

Group	Tuition Discount	Tuition Allowance	Total Tuition Reduction
Employees (1)	40%	35%	75%
Employee's Eligible Family Members	40%	-	40%

(1) Tuition assistance provided by the University to an Employee for graduate and doctoral programs is limited to $5,250 per Plan Year. However, only the amount of the Tuition Allowance, as shown in the applicable charts above, will apply toward the $5,250 limit. When the total amount of any Tuition Allowance provided to an Employee reaches the $5,250 limit for a Plan Year, the Employee must pay the tuition cost, minus any Tuition Discount, for any additional graduate-level and/or doctoral courses/programs in that Plan Year.

rEsource fees (books and course materials) for Employees are discounted in accordance with the schedule in effect, which may be changed at any time at the University's discretion. There is no rEsource fee discount for Doctoral courses. rEsource fees are not discounted for Eligible Family Members.

Professional Development Courses Offered by University of Phoenix

Group	Tuition Discount	Tuition Allowance	Total Tuition Reduction
Employees	40%	-	40%

Tuition Discount

The University is pleased to offer Employees and their Eligible Family Members a discounted tuition rate for Associate, Undergraduate, Graduate, and/or Doctoral courses or programs, as well as Professional Development Courses for Employees, taken at the University. The discount provided by University of Phoenix to Employees and their Eligible Family Members is consistent with the discount currently being offered by the University to certain unrelated employers and/or groups and is subject to change.

An Employee must complete a Tuition Assistance Application (see section *Enrolling in University Courses and Programs*) to be eligible to receive tuition assistance under this Policy for themselves or any Eligible Family Members, except that an Employee may purchase a Professional Development Course(s) and receive the then-applicable fee discount for Employees without completing a Tuition Assistance Application.

The example below illustrates the application of Tuition Allowance toward the $5,250 limit for a graduate-level program. Tuition Allowance for doctoral programs pursued by an Employee are also subject to the $5,250 limit and are applied in a similar manner.

Graduate Program						
Course / Calendar Year	**Total Course Cost**	**Tuition Discount (40%)**	**Tuition Allowance (60%)[1]**	**Amount Applied to $5,250 Limit**	**Cumulative Amount Applied to $5,250 Limit**	**Employee Out of Pocket Cost**
1	$2,094	$838	$1,256	$1,256	$1,256	-
2	$2,094	$838	$1,256	$1,256	$2,513	-
3	$2,094	$838	$1,256	$1,256	$3,769	-
4	$2,094	$838	$1,256	$1,256	$5,026	-
5	$2,094	$838	$224[2]	$224	$5,250	$1,032[3]
6	$2,094	$838	-	-	$5,250	$1,256

[1] Applied to the Total Course Cost until the $5,250 is reached

[2] $5,250 limit minus the Cumulative Amount Applied to the $5,250 limit

[3] Total Course Cost minus the Tuition Discount and any Tuition Allowance

Financial Obligations

- Any amounts owed to the University by a Participant, including tuition amounts and/or fees, cost of books and any classroom materials, must be paid before a Participant may attend the first class of any course for which a Participant is receiving tuition assistance.
- Participants receiving tuition assistance from the University are fully responsible for all financial obligations incurred in connection with their coursework. As part of the application for tuition assistance under the Plans, an Employee must agree that the University may withhold (in accordance with applicable state and federal regulations) from their wages or other income paid by the University amounts owed until the debt to the University has been paid in full. If an account becomes delinquent, a Participant may not receive tuition assistance, other than any fee discount for Professional Development Courses, from the University until the account is brought to current status.
- Please refer to the Plan Documents for more information about Participants' financial obligations and potential consequences of failure to comply with such obligations.

Coordination with Federal Financial Aid Assistance

- When applying for federal financial aid, Participants must disclose on the financial aid application their eligibility for a tuition discount and tuition assistance (other than any fee discount for Professional Development Courses) from the University. Improper or incomplete disclosure of the tuition discount and the tuition assistance may result in a Participant (including an Employee of the University even if they were not responsible for any omission) becoming ineligible for tuition assistance (other than any fee discount for Professional Development Courses), or other corrective action.
- A Participant who receives federal financial aid that exceeds their Direct Costs for Covered Coursework will be ineligible for any tuition assistance under the Plans or this policy (other than

any fee discount offered for Professional Development Courses) for the entire academic year in which the excess federal financial aid is received, regardless of whether federal financial aid may be used for such tuition costs.

Enrolling in University Courses and Programs

- A Tuition Assistance Application must be approved by Human Resources before a Participant may enroll in any Covered Coursework (excluding Professional Development Courses, as noted below).
- Employees should complete a Tuition Assistance Application for themselves or an Eligible Family Member by logging into MyHR > Menu > Myself > Tuition Assistance > Add. Employees will receive notification that their Tuition Assistance Application was approved or denied. Once approved, a Participant may enroll in Covered Coursework.
    - Once the Employee or an Eligible Family Member has an approved Tuition Assistance Application, the Employee or Eligible Family Member must complete at least one course [excluding any Professional Development Course(s)] in a 12-month period, or the approved Tuition Assistance Application will expire.
- An Employee must complete a new Tuition Assistance Application if:
    - A Participant's tuition assistance was previously revoked due to any reason provided in this policy and/or the Plans;
    - A Participant is terminated then subsequently rehired;
    - The amount a Participant is receiving in federal financial aid no longer exceeds their Direct Costs, and they have completed the required credits and instructional weeks for the academic year for which they received federal financial aid that exceeded their Direct Costs; or
    - A Participant's approved Tuition Assistance Application expired because they did not complete at least one course [excluding any Professional Development Course(s)] in a 12-month period.
        - The University may, in its discretion, deny approval of a re-submitted Tuition Assistance Application for a Participant who repeatedly permits an approved Tuition Assistance Application to expire due to incompletion of at least one course in the required timeframe.
- An Employee may visit www.phoenix.edu/professional-development to purchase a Professional Development Course(s) and receive the then-applicable fee discount for Employees ***without*** completing a Tuition Assistance Application.

Directed Study

Participants enrolled in a credit-bearing certificate program, consisting of at least four (4) courses, may complete no more than one (1) course via Directed Study. If a certificate program consists of fewer than four (4) courses, no courses may be done via Directed Study. Any course within a certificate program that is completed via Directed Study will count toward the maximum of twelve (12) credits in a degree program that may be earned via Directed Study if the Participant enrolls in a degree program.

Withdrawals

- Employees and their Eligible Family Members receiving tuition assistance will be responsible for paying up to the full cost of any course(s) they Withdraw from, plus associated fees, in

accordance with the Tuition Refund Policy as stated in the Consumer Information Guide, unless otherwise approved by the University in its sole and absolute discretion.

- If an Employee (or an Eligible Family Member) Withdraws from a course after their employment terminates, the Employee will be responsible for paying the full cost of any course (excluding the cost of any Professional Development Courses for which the Employee has paid the required costs), plus associated fees, in accordance with the University's Tuition Refund Policy as stated in the Consumer Information Guide, unless otherwise approved by the University in its sole and absolute discretion.

Course Re-Takes

A Participant is not eligible to receive tuition assistance and must pay the full cost to re-take a course, excluding any Professional Development Course(s), that a Participant has already taken, unless tuition assistance is approved, on a case-by-case basis, by the University in its sole discretion.

Enrolling in Non-University Courses and Programs

- Employees may request approval to enroll in an undergraduate or graduate course or program offered by another university and may receive reimbursement for tuition. Generally, a request will be considered only if:
    a) The course or program is not offered by the University, unless the Employee's immediate manager, the Chief Human Resources Officer, and executive team member who oversees the Employee's function approves a specific exception;
    b) The course or program is relevant to the Employee's current role and/or will enhance professional development; or the Employee is under consideration for a potential future job move into a specific role or type of role, as communicated by their manager, and this course is deemed as critical to the Employee's candidacy for this job move; and
    c) The Employee receives a grade of C or higher and submits a grade report and an expense report for tuition reimbursement.
- Employees can obtain an application from HR.EmployeeServices@phoenix.edu to obtain manager approval to pursue non-University courses/program. Employees will be notified that their application was approved or denied. Once approved, the Employee may enroll in a non-University course or program.
- Once an Employee has completed a course and received a grade report showing a grade of C or higher, they should complete and submit an expense report that has been approved by their immediate manager, in accordance with the University's *Travel, Meetings, and Expense Reimbursement* policy, along with a copy of their grade report or certificate of completion and a copy of the original approved application.
- The University determines, in its sole discretion, any non-University course and/or program that may be eligible for tuition reimbursement. Any tuition reimbursement for non-University courses and/or programs will be aggregated with any tuition assistance provided by the University under this policy and applied toward a Participant's Plan Year limit on tuition assistance ($5,250).

Termination of Employment

- If an Employee voluntarily terminates employment with the University, or employment terminates for any reason ***other than*** due to a Reduction in Work Force or for Cause (each as defined in the University's Severance Plans), Participants will be provided tuition assistance under this policy for any course in which the Employee or an Eligible Family Member are enrolled as of the

termination date, except as described below under Professional Development Courses, provided the Employee or Eligible Family Member does not Withdraw from the course. Tuition assistance will not be provided to the Employee or an Eligible Family Member for any course that begins after the termination date with the University (except as described below under Professional Development Courses).

- Employees who voluntary terminate their employment with the University within one year following the completion of a non-University course for which they received reimbursement from the University must repay all or a portion of the reimbursement in accordance with the chart below:

Termination Date	**Percentage of Reimbursement to be Repaid**
Within six (6) months following the completion of a course for which reimbursement was received	100%
More than six (6) months, but not more than twelve (12) months following the completion of a course for which reimbursement was received	50%
More than twelve (12) months following the completion of a course for which reimbursement was received	0%

- Employees whose employment with the University is terminated as the result of a Reduction in Work Force may continue to receive tuition assistance under the Plans for twelve (12) months following the Employee's termination date, provided they have an approved Tuition Assistance Application on file and are currently enrolled. The continuation of tuition assistance is only for the program/level in which the Employee is enrolled at the time of the Reduction in Work Force. Eligible Family Members of Employees whose employment is terminated as a result of a Reduction in Work Force may receive tuition assistance for any course in which they are enrolled at the time of the Employee's termination, provided they do not Withdraw from the course.
- Professional Development Courses. An Employee who has purchased any Professional Development Course(s) prior to their termination for any reason will continue to have access to the Professional Development Course(s) for 365 days from their original purchase date, provided the Employee remains in compliance with any requirements to which they agreed at the time of their purchase(s) of the Professional Development Course(s).
- Except as noted above regarding Professional Development Courses, if the University terminates an Employee's employment for Cause, the Employee and any Eligible Family Members will not be provided tuition assistance, including for any course(s) in which the Employee and any Eligible Family Members are enrolled at the time of termination.

Other Information

- Eligible Family Members who are receiving tuition assistance from the University must disclose receipt of these benefits to their employers. Failure to disclose the receipt of tuition benefits may result in ineligibility to receive tuition assistance of the respective Employee and any other of their respective Eligible Family Members.
- The University's Tuition Assistance Plans are intended to comply with Internal Revenue Code Section 117 ("Code Section 117") or Internal Revenue Code Section 127 ("Code Section 127"), respectively, as described in the Plan Documents. Any terms not defined in this policy will have the definition assigned to them in the applicable Plan Documents. This policy is meant to be a summary of the provisions included in the Plan Documents and is qualified in its entirety by the

terms of the Plan Documents. In the event of any conflict between this policy and the Plan Documents, the Plan Documents will govern.

4.0 Related Policies and Procedures

Code of Ethics
Travel, Meetings, and Expense Reimbursement

5.0 Revision History

Version	Date
1	2/7/2022
2	3/31/2023